

Northwind Traders Standard Business Policies

Standard Operating Procedures & Operational Governance

1. Shipping & Delivery Policy

Northwind Traders strives to ensure rapid, secure fulfillment of all perishable and non-perishable wholesale goods.

- **Standard Shipping Lead Time:** Orders approved prior to 14:00 EST are processed same-day. Standard domestic delivery target is 3 business days; international transit targets 5–7 business days.
- **Freight Shipping Charges:** Freight costs are calculated based on weight, volume, freight class, and destination distance. Freight charges are added directly to the invoice upon checkout.
- **Perishable & Cold-Chain Goods:** Items requiring refrigeration are shipped exclusively via priority express channels with thermal insulated packaging. Cold-chain shipments are restricted from dispatching on Fridays to prevent weekend depot transit delays.
- **FOB Shipping Point:** Title and risk of loss pass to the buyer upon handover to the carrier (Speedy Express, United Package, or Federal Shipping).

2. Pricing & Wholesale Discount Structure

To encourage volume purchasing while maintaining profitable margins, Northwind operates a tier-based discount system enforced via line-item rules:

Discount Level	Order Value Threshold / Volume	Discount Rate Applied	Approval Authority Required
Tier 0 (Standard)	1 - 49 units / under \$1,000	0.0%	System Auto-Approved
Tier 1 (Volume)	50 - 99 units / \$1,000 - \$4,999	5.0% (0.05)	Inside Sales Representative
Tier 2 (Commercial)	100 - 249 units / \$5,000 - \$9,999	10.0% (0.10)	Senior Sales Representative
Tier 3 (Enterprise)	250+ units / \$10,000+	15.0% - 25.0% (0.15 - 0.25)	VP of Sales Approval Required

3. Employee Responsibilities & Operational Standards

All personnel representing Northwind Traders must maintain professional operational compliance:

- **Sales Representatives:** Responsible for maintaining accurate client records, ensuring pricing discounts comply with corporate policy tables, and submitting order details within 2 hours of booking.
- **Warehouse & Logistics Staff:** Accountable for inventory picking accuracy (>99.5% target), inspect container seal integrity prior to loading, and ensuring stock rotation via First-In, First-Out (FIFO).
- **Customer Support Staff:** Expected to acknowledge all client complaints within 4 hours and maintain customer satisfaction rating above 92%.

4. Product Discontinuation Policy

Products may be marked as `Discontinued = 1` in the enterprise database under specific business conditions:

1. **Supplier Termination:** Supplier ceases manufacturing or revokes wholesale distribution agreement.
2. **Quality Inconsistency:** Product fails quality control audits or incurs return rates exceeding 4.5% over two consecutive quarters.
3. **Low Demand:** Annual sales drop below the minimum threshold required to justify inventory holding costs.

Operational Handling: Once a product is marked discontinued, no new purchase orders are placed with suppliers. Existing stock (`UnitsInStock``) is sold at a clearance discount until depleted. Discontinued SKUs cannot be deleted from the database to preserve historical reporting integrity for past orders.

5. Returns, Claims & Credit Refund Policy

Due to regulatory food safety standards, physical product returns are strictly controlled:

- **Damage in Transit Claims:** Must be reported within 48 hours of shipment receipt. Claims must include photos of damaged shipping outer cartons and product lot numbers.
- **Quality Assurance Returns:** Spoiled or non-conforming items must be reported within 10 business days of delivery. Upon validation, a Credit Memo is issued against the customer's account balance.
- **Non-Returnable Items:** Open or unsealed perishable dairy, produce, or custom-imported goods cannot be returned to stock under any circumstance.

6. Inventory Replenishment & Reorder Trigger Policy

Inventory levels are evaluated continuously via automated database rules:

Replenishment Formula Rule:

An automated Purchase Order request to the vendor is generated whenever:

$(UnitsInStock + UnitsOnOrder) \leq ReorderLevel$

Reorder quantities are calculated to restore inventory levels to a 60-day average demand buffer based on historical lead times.

7. Order Approval & Credit Governance Workflow

To mitigate credit risk and maintain cash flow, all customer orders undergo automated governance validation:

Order Condition	Action / System Status	Required Action to Release
Account in Good Standing & Order Within Credit Limit	Auto-Approved -> Sent to Warehouse	None (Automated workflow)
Account Overdue (>30 Days Past Due)	Order Credit Hold	Finance payment clearance required

Order Condition	Action / System Status	Required Action to Release
Order Total Exceeds Available Credit Limit	Order Credit Hold	Credit Limit Increase by Finance Dept
Order Line-Item Discount Exceeds 15%	Discount Approval Hold	Sign-off from VP of Sales